



HIGH-LEVEL SUMMARY TECHNICAL ASSISTANCE REPORT

KOSOVO

Report on Residential Property Price Index
(October 27–31, 2025)

November 2025

Prepared By

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High-Level Summary Technical Assistance Report Statistics Department

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The *High-Level Summary Technical Assistance Report* series provides high-level summaries of the assistance provided to IMF capacity development recipients, describing the high-level objectives, findings, and recommendations.

ABSTRACT: This technical assistance mission, conducted from October 27 to 31, 2025, supported the Kosovo Agency of Statistics (KAS) in developing the country's first official Residential Property Price Index (RPPI). The mission focused on refining data cleaning and filtering processes, advancing compilation methods using the hedonic regression approach implemented in the R statistical package, and building local capacity for sustainable index production. The RPPI is critical for monitoring real estate market developments and financial sector risks, particularly for the Central Bank of Kosovo's (CBK) surveillance and stress testing frameworks. Key recommendations include launching the RPPI by end-2025, ensuring ongoing staff training and adequate resourcing, enhancing data quality through cross-checks, and establishing transparent dissemination practices with detailed methodological documentation.

JEL Classification Numbers (consult <https://www.aeaweb.org/econlit/jelCodes.php>)

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DATA FOR DECISIONS

FUND



Background

The technical assistance (TA) mission was part of an ongoing effort to support Kosovo in developing a reliable Residential Property Price Index (RPPI), a structural benchmark under the International Monetary Fund's (IMF) Stand-By Arrangement (SBA) and the Resilience and Sustainability Facility (RSF). The RPPI is essential for providing timely and accurate indicators of property market dynamics, which are crucial for macroeconomic surveillance, financial stability analysis, and policy formulation. Prior to this mission, Kosovo lacked an official government-published RPPI, limiting the authorities' ability to monitor real estate price trends and assess related financial risks.

This mission built upon previous engagements, including a June 2024 TA visit, by focusing on advanced methodological development and practical implementation. It assisted KAS in processing administrative data from the Kosovo Cadastral Agency (KCA), improving data quality, and applying a hedonic regression model with a rolling window approach to better capture pure price changes while controlling for property characteristics. The mission also emphasized capacity building to ensure that KAS staff could maintain and update the RPPI independently. The development of the RPPI aligns with the CBK's strategic priorities to strengthen financial sector risk monitoring and stress testing, thereby enhancing the overall macroprudential framework in Kosovo.

Summary of Findings

The mission found that significant progress has been made toward establishing a robust RPPI for Kosovo, with KAS planning to publish the index for the reference quarter of Q2 2025. The administrative data from the Kosovo Cadastral Agency, spanning 2015 to mid-2025, was identified as the most suitable data source, although only records from 2018 onward were deemed reliable due to earlier quality issues. Despite improvements, concerns remain about potential underreporting of transaction prices, highlighting the need for cross-validation with alternative data sources such as real estate and construction company records.

Methodologically, the mission advanced the compilation of the RPPI by adopting a hedonic regression approach, which offers a more precise estimation of price changes by adjusting for property attributes like floor area, location, and floor number. The use of a four-quarter rolling window allowed the model coefficients to adapt over time, reflecting evolving market preferences. The RPPI was compiled at both the district level (Pristina and the rest of the country) and nationally, using annually updated expenditure weights to aggregate strata-level indices. The mission also supported the development of R scripts and Excel tools for index compilation, ensuring transparency and maintainability.

However, the sustainability of the RPPI production system remains a key risk, as the staff responsible have other duties and require ongoing training in regression techniques and the R statistical package. The mission emphasized the importance of regular data quality checks, timely feedback to the Cadastral Agency, and the establishment of internal procedures to maintain consistency and quality. Dissemination plans include launching the RPPI with a dedicated event, designing a new statistical release, publishing a detailed methods document, and making data easily accessible online.

Summary of Recommendations

To ensure the RPPI's successful launch and sustainability, the mission recommended that KAS prioritize the design of a new statistical release and prepare comprehensive communication materials ahead of the planned publication in November or December 2025. This includes organizing a promotional event to raise awareness among media and users, thereby enhancing the index's visibility and utility. The publication of a detailed methods document is crucial to provide transparency about data sources, quality assurance procedures, and compilation methodologies, fostering user confidence and facilitating informed interpretation.

Capacity building is essential for maintaining the RPPI's quality over time. KAS should ensure that the staff assigned to the RPPI have adequate time and resources to focus on this task, supported by targeted training in regression-based statistical methods and proficiency with the R statistical package. The development of an internal procedures document will help institutionalize best practices and ensure continuity, especially as personnel changes occur. On the data front, KAS should implement regular quality checks on the quarterly data received from the Kosovo Cadastral Agency and establish mechanisms to promptly address any identified issues. Cross-checking declared prices with alternative sources remains a high priority to improve data reliability.

Finally, the hedonic regression models should be regularly monitored through diagnostic testing to maintain their explanatory power and relevance. Model updates should be carefully managed, ideally synchronized with annual weight revisions, and accompanied by a clear revision policy outlined in the methods document. These steps will support the RPPI's role as a vital tool for macroeconomic surveillance and financial stability monitoring in Kosovo.

Table 1. Country Priority Recommendations

Target Date	Priority Recommendation	Responsible Institutions
November 2025	Design a new statistical release to disseminate the RPPI	KAS
December 2025	Draft and publish an RPPI methods document.	KAS
December 2025	Launch the first-time RPPI at a promotion event for media and users.	KAS